Currently, funds are required to include audited financial statements in their annual reports and unaudited financial statements in their semi-annual reports.[398] Section 30(e) of the Investment Company Act provides that funds' annual and semi-annual reports include the fund's financial statements, which in turn must include a statement of assets and liabilities, a schedule of investments that shows the amount and value of each security owned by the fund on that date, a statement of operations, and a statement of changes in net assets.[399] The annual report must include audited financial statements accompanied by a certificate of an independent public accountant.[400] The financial statements (including the fund's schedule of portfolio investments) provide data regarding the values of the fund's portfolio investments as of the end of the reporting period. This provides a "snapshot" of data at a particular point in time, or, for example in the case of the statement of operations, historical data over a specified time period.[401]

The rules under Regulation S-X establish general requirements for portfolio holdings disclosures in fund financial statements. Information regarding a fund's schedule of portfolio

---

398 *See* Item 27(b)(1) and 27(c)(1) of Form N-1A. A fund's audited financial statements must include, among other items: (1) an audited balance sheet, or statement of assets and liabilities, as of the end of the most recent fiscal year; (2) an audited statement of operations for the most recent fiscal year; (3) an audited statement of cash flows for the most recent fiscal year if necessary to comply with generally accepted accounting principles ("GAAP"); (4) audited changes in net assets for the two most recent fiscal years; and (5) a schedule of investments in securities of unaffiliated issuers. *See* rules 3 through 18 and 6 through 10 of Regulation S-X.

399 *See* sections 30(e)(1) through (4) of the Investment Company Act [15 U.S.C. 80a-29(e)(1) through (4)], and section 30(e)(6) of the Investment Company Act [15 U.S.C. 80a-29(e)(6)].

400 *See* section 30(g) of the Investment Company Act [15 U.S.C. 80a-29(g)].

401 *See* Investment Company Reporting Modernization, Investment Company Act Release No. 31610 (May 20, 2015) [80 FR 33590 (June 12, 2015)] ("Reporting Modernization Proposing Release"), at text following n.55.

investments is designed to enable shareholders to make more informed asset allocation decisions by allowing them to better monitor the extent to which their investment portfolios overlap. In addition, this information may provide shareholders—particularly those with facility in analyzing funds' individual portfolio holdings—with information about how a fund is complying with its stated investment objective and expose any deviation from the fund's investment objective (*i.e.*, style drift).[402] In lieu of providing a complete schedule of portfolio investments as part of the financial statements included in its shareholder report, a fund may provide a summary schedule of portfolio investments ("summary schedule").[403] The summary schedule must list, separately, the 50 largest issues and any other issue exceeding one percent of the net asset value of the fund at the close of the period.[404]

Much of the length of funds' current annual and semi-annual reports is due to the inclusion of the complete financial statements.[405] Commenters on the Fund Investor Experience RFC, as well as information from prior investor testing and surveys, suggest that some investors generally believe the financial statements, or information derived from financial statements, is important.[406] However, we understand that many shareholders may

---

402 *See* February 2004 Shareholder Report Adopting Release, *supra* footnote 83, at text accompanying n.32.

403 *See* Instruction 1 to Item 27(b)(1) of Form N-1A (permitting the inclusion of Schedule VI–summary schedule of investments in securities of unaffiliated issuers under Rule 12-12C of Regulation S-X in lieu of Schedule 1— Investments of securities of unaffiliated issuers under Rule 12-12 of Regulation S-X).

404 *See* rule 12-12C, n.3 of Regulation S-X [17 CFR 210.12-12C].

405 *See supra* footnote 19 and accompanying text (discussing the typical length of funds' annual reports today).

406 *See supra* footnotes 51 and 52 and accompanying text (summarizing research findings regarding the level of investor interest in financial statement information).

find the current shareholder report financial statement disclosure to be complex and difficult to understand. For example, the 2012 Report on Investor Testing of Fund Annual Reports noted that while about a quarter of investors surveyed expressed the view that financial statement information is important, the majority of investors did not find the financial statement section of the shareholder report easy to understand, and investor comprehension of the section was low.[407] Similarly, one commenter on the Fund Investor Experience RFC stated that much of the information included in financial statements is of a technical nature with little importance to the average retail investor, and recommended that this information be included online.[408]

We are proposing to require funds to provide the complete financial statements on Form N-CSR, while retaining the graphical representation of holdings in the annual and semi-annual reports.[409] We believe that this layered approach to disclosure will help shareholders understand how the fund invests its assets. This approach is also designed to permit all shareholders, including retail shareholders, to monitor and assess their ongoing investment in the fund in a concise, easy-to-understand pictorial format, while preserving access to the more complete financial statements for shareholders that find this broader information useful. The graphical representation of holdings in funds' shareholder reports is also in line with the

---

407 *See* 2012 Report on Investor Testing of Fund Annual Reports, *supra* footnote 26, at 15. The results of the 2012 Report on Investor Testing of Fund Annual Reports found that 24% of shareholders that were surveyed ranked the financial statements within the top three items of importance.

408 *See* ICI Comment Letter I.

409 *See* proposed Item 7 of Form N-CSR (requiring funds to provide the complete financial statements on Form N-CSR); *see also* Item 27A(f) of Form N-1A (requiring shareholder reports to include the graphical representation of holdings).

preferences investors have expressed for including more tables, charts, and graphs in fund disclosure to make information more understandable to the average investor.[410]

We also are proposing amendments to Form N-1A that would eliminate a fund's ability to provide a summary schedule in lieu of providing a complete schedule of portfolio investments as part of the financial statements. We believe that this is appropriate because the proposed annual and semi-annual reports would no longer include the complete financial statements (which includes the schedule of portfolio investments). Therefore, because a fund's full schedule of investments would only be included on Form N-CSR and on the fund website, we believe that allowing funds to use the summary schedule would be unnecessary and could potentially be confusing to shareholders. This proposed change would also reduce costs to the extent funds need not print and mail a complete schedule of portfolio investments as part of the financial statements unless a shareholder requests this information.[411] Furthermore, because the proposed annual and semi-annual reports are designed to help investors focus on the most salient features of the fund to better evaluate their investment, we do not believe it

---

410 *See* Kleimann, *supra* footnote 324; *see also supra* footnote 34.

411 Under the proposal, this information would also appear online. As part of its proposal and adoption of rule 30e-3, the Commission similarly proposed to eliminate the ability of a fund relying on rule 30e-3 to provide a summary schedule in its shareholder report because the shareholder report would only be filed online and, therefore, the fund would not bear additional printing and mailing costs associated with providing the full schedule of investments. *See* Reporting Modernization Proposing Release *at* Section II.D.

The Commission ultimately determined to retain the ability for a fund that relies on rule 30e-3 to provide a summary schedule in the Rule 30e-3 Adopting Release, and acknowledged that a fund may choose to use a summary schedule for cost considerations or otherwise. *See* Rule 30e-3 Adopting Release, *supra* footnote 14, at n.120. We believe the considerations underlying this proposal's treatment of the summary schedule are different because, unlike under rule 30e-3, no fund investors would have a shareholder report that includes the fund's financial statements directly transmitted to them. Under rule 30e-3, funds would still have to deliver shareholder reports that include full financial statements to any shareholder who so requests.

would be useful to shareholders, and may even be confusing, to allow funds to provide a summary schedule alongside the complete schedule of portfolio investments online.

We seek comment on our proposal to require funds to file their annual and semi-annual financial statements on Form N-CSR and make them available online rather than in a fund's shareholder reports, and specifically on the following issues:

136. Would our proposed layered approach to disclosure of financial statement information—by providing the graphical representation of holdings in the annual and semi-annual report and the complete financial statements on Form N-CSR—help tailor information to shareholders based on their informational needs? Are there any other data elements from funds' financial statements that should be included in funds' annual and semi-annual reports, and if so, what elements and why would they be useful for retail shareholders?

137. Is the direct transmission of audited financial statements, or a portion of them, important to fund investors, and if so, why? If important, would it be helpful to investors for any information in the annual report to be replicated verbatim from the audited financial statements, and for the report to make clear that certain information was audited? What information and why?

138. Should we, as proposed, eliminate a fund's ability to provide a summary schedule in lieu of providing a complete schedule of portfolio investments as part of the financial statements? Should we instead either permit funds to continue providing a summary schedule as part of their financial statements, or require funds to include a summary schedule in their shareholder reports? Would the latter alternative provide an appropriate complement to the graphical representation of holdings, or would including the summary schedule in funds' shareholder reports be duplicative and/or confusing in light of the proposed

requirement to include the graphical representation of holdings in funds' annual and semi-annual reports? If we were to continue to permit funds to provide a summary schedule as part of their financial statements, should we also require these funds to make their complete portfolio holdings, as of the close of the fund's most recent second and fourth fiscal quarters, available on a website (in addition to the proposed requirement discussed below that funds make their first and third fiscal quarters' complete portfolio holdings available online)?[412] Should we permit a fund to make the summary schedule available online instead of the complete schedule of portfolio holdings? Why or why not?

139. Other than complete financial statements, is there any other financial information that funds should be required to file on N-CSR? Do investors and other market participants currently use the financial statement information that appears on EDGAR as part of funds' filed shareholder reports, and if so, how?

b. Financial Highlights

We are proposing to require funds to file their financial highlights information on Form N-CSR.[413] This information is identical to the information currently required in fund shareholder reports. We are proposing that funds would not include financial highlights information in their annual or semi-annual reports, with the exception of certain specific data points as discussed below.

Currently, funds are required to disclose the condensed financial information that Item 13(a) of Form N-1A requires (*i.e.,* financial highlights) in their annual and semi-annual

---

412 *See infra* Section II.D.2.a.

413 *See* proposed Item 7(b) of Form N-CSR.

reports.[414] The financial highlights include a summary table of financial information covering the preceding five years (or since the fund's inception, if less than five years).[415] Under certain circumstances, a fund may incorporate by reference its financial highlights from a report to shareholders into its prospectus.[416]

The information contained in a fund's financial highlights is generally designed to help investors evaluate the fund's historical performance and fund manager's investment management expertise.[417] For example, disclosure of changes in a fund's total return over a five-year period is designed to give a shareholder information regarding the fund's performance trends over time (*i.e.*, volatile vs. steady returns).[418] Similarly, a higher portfolio

---

414 *See* Items 27(b)(2) and 27(c)(2) of Form N-1A. *See also* Item 13(a) of Form N-1A.

415 The summary table contains information regarding changes in a fund's net asset value, total returns, portfolio turnover rate, and capital distributions, among other things, during the preceding five years. *See* Item 13(a) of Form N-1A.

416 *See* Instruction 4(e) to Item 13 of Form N-1A. A fund currently may incorporate the financial highlights from a shareholder report into the prospectus if the fund delivers the shareholder report simultaneously with the prospectus or if the shareholder report has been previously delivered to shareholders. A fund that incorporates the financial highlights by reference must include a statement in its prospectus explaining that: (1) additional information about the fund's investments is available in the annual and semi-annual reports to shareholders; (2) the fund's annual report provides a discussion of the market conditions and investment strategies that significantly affected the fund's performance during its last fiscal year; and (3) the fund's annual and semi-annual reports are available, without charge, upon request. A fund must also explain how shareholders may make inquiries to the fund, provide a telephone number for shareholders to call to request the annual or semi-annual report, and state whether the fund makes available its annual and semi-annual reports, free of charge, on the fund's website. *See* Item 1(b)(1) of Form N-1A.

417 *See* Improving Descriptions of Risk by Mutual Funds and Other Investment Companies, Investment Company Act Release No. 20974 (Mar. 29, 1995) [60 FR 17172 (Apr. 4, 1995)].

418 *See* How to Read a Mutual Fund Shareholder Report, *supra* footnote 316.

turnover rate may indicate higher transaction costs and may result in higher taxes when fund shares are held in a taxable account.[419]

While we would require funds to file the entirety of their financial highlights on Form N-CSR, we are also proposing to retain certain elements of the financial highlight information in funds' annual and semi-annual reports. These retained elements are those that we understand may be particularly helpful for shareholders to evaluate a fund's performance. This layered disclosure approach is designed to retain the financial highlight information that we believe would be most salient to retail shareholders in funds' shareholder reports, while preserving the entirety of this information on Form N-CSR for those shareholders to whom the broader information would be useful.[420] While one industry survey found that the average retail shareholder finds most of the items from the financial highlights section difficult to understand, this survey also concluded that a majority of shareholders found the total return and expense ratio information important for shareholders to monitor and assess their investments in a fund.[421] Accordingly, we are proposing that a fund would have to disclose its expense ratio in the "Fund Expenses" section of the proposed annual and semi-annual

---

419 *Id.*

420 *See* 2012 Report on Investor Testing of Fund Annual Reports, *supra* footnote 26, at 138 (noting that a few of the investors who were surveyed indicated that they saw value in the financial highlights information and stated that financial highlights provided them with a snapshot of the fund and important fund performance trend data that is easy to digest).

421 *See* ICI Comment Letter I (noting that shareholders from all age and income groups supported the inclusion of total return and expense ratio information in a summary shareholder report and indicated that it was important to include a graphical representation of these key measures. The survey also noted that two-thirds of mutual fund investors who read very little of the current shareholder report and found it difficult to understand, still indicated the total return and expense ratio chart was very important and needed to be kept in the summary shareholder report).

reports.[422] Also, while funds' shareholder reports would no longer include annual total returns for each of the preceding five years, the MDFP section of the annual report would continue to include certain information regarding a fund's annual total returns.[423] Shareholders also would continue to be able to assess performance trends over time using the performance line graph and performance table that would appear in the annual report.[424] Finally, we would require annual and semi-annual reports to include funds' disclosure of their net assets and portfolio turnover rate (which are also data elements from the fund's financial highlights) as of the end of the period covered by the report.[425] We believe that all of these data elements that would appear in the proposed annual and semi-annual reports would together serve as a snapshot—of both period-end data and data over time—that would provide retail shareholders with the financial highlights data that they have indicated they find most useful. Investors who want to continue to have access to all of the information that currently appears in funds' financial highlights would continue to be able to access this information on Form N-CSR and online.[426]

---

422 *See* proposed Item 27A(c) of Form N-1A. The expense ratio would be based on the fund's net expenses under GAAP and would reflect any interest or dividend expense.

423 *See* proposed Item 27A(d)(2)(B) of Form N-1A. Our proposal would require a fund to continue to disclose its average annual total returns for the 1-, 5-, and 10-year periods as of the end of the last day of the most recent fiscal year (or for the life of the fund, if shorter) in its annual report, as funds do today.

424 *See supra* Sections II.B.2.c.ii, II.B.2.c.iii.

425 *See supra* Section II.B.2.d.

426 The information that would be available online includes detailed year-over-year comparisons over the past five years of per-share information associated with net investment income, net gains or losses on securities and distributions, as well as expense ratio, portfolio turnover and return information.

Item 13 of Form N-1A currently requires a fund to include financial highlights information in its prospectus, and an instruction to this item permits a fund to incorporate this information from a shareholder report under rule 30e-1 by reference into its prospectus.[427] Because, under the proposal, funds' shareholder reports would no longer include financial highlights, we are proposing to amend the current instruction to allow a fund to incorporate by reference into its prospectus its financial highlights from Form N-CSR.[428] For existing shareholders that have received the fund's shareholder report, a fund would be required to include a legend stating that additional information about the Fund's annual and semi-annual financial statements is available in Form N-CSR.[429] For new investors in the fund, the fund would be required to provide the fund's most recent shareholder report along with its prospectus.[430] This provision parallels the current provision that allows a fund to incorporate by reference its financial highlights from the fund's shareholder report.

---

427 A fund may incorporate this information by reference if the fund delivers the shareholder report with the prospectus or, if the report has been previously delivered (*e.g.*, to a current shareholder), the fund includes the statement that Item 1(b)(1) of Form N-1A requires (*i.e.*, a statement that additional information about the fund's investments is available in the fund's annual and semi-annual reports to shareholders). *See* Instruction (4)(e) to Item 13 of Form N-1A.

428 *See* proposed amendments to Instruction (4)(e) to Item 13 of Form N-1A.

429 *See* proposed amendments to Item 1(b)(1) of Form N-1A. The required statement would state (among other things) that: (1) additional information about the fund's investments is available in the fund's annual report to shareholders and in Form N-CSR; (2) the fund's annual report and Form N-CSR are available, without charge, upon request. A fund must also explain how shareholders may make inquiries to the fund, provide a telephone number for shareholders to call to request the fund's annual report and Form N-CSR, and state whether the fund makes available Form N-CSR, free of charge, on the fund's website. *See* Item 1(b)(1) of Form N-1A.

430 *See* proposed amendments to Instruction 4(e) to Item 13 of Form N-1A, current Instruction 4(e) to Item 13 of Form N-1A (allowing a fund to incorporate by reference its financial highlights from its shareholder report into the prospectus so long as the fund delivers the shareholder report with the prospectus (*i.e.*, for new shareholders)). If the shareholder report has been previously delivered (*e.g.,* to a current shareholder), the fund must include a